



**NATO Support and
Procurement Agency
(NSPA)**

NATO UNCLASSIFIED

OPERATING INSTRUCTION (OI)

DEBARMENT OPERATING INSTRUCTION

NSPA OI 4200-07

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AMENDMENT RECORD

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DEBARMENT OPERATING INSTRUCTION**1. REFERENCES**

- A. NSPO Regulation No. 4200 - Procurement Regulations
- B. NSPA OI 4200-01 - Procurement Operating Instruction
- C. NSPA OI 4200-02 - Sourcing Operating Instruction
- D. NSPA OI 4200-06 - The Role of the Competition Advocate
- E. NSPA OI 4400-01 - NSPA Code of Conduct
- F. NSPA OPR G/2022/004 - NSPA Supplier Code of Conduct
- G. [Terms of Reference of the award Review and Debarment Board to be included once published]

2. PURPOSE

This Operating Instruction sets out the grounds and procedures for debarring a supplier doing business or seeking to do business with NSPA.

3. SCOPE

This Operating Instruction regulates all debarment procedures initiated by NSPA.

4. DEFINITIONS

- 4.1 “Balance of probabilities”, also known as preponderance of evidence, is a standard of proof that is met if it is more likely than not that an alleged fact occurred.
- 4.2 “POD” means NSPA’s Programmes, Offices, and Divisions.
- 4.3 “Sanctioned supplier” is a supplier that has been sanctioned for having engaged in a sanctionable practice within the meaning of section 5 of this Operating Instruction.
- 4.4 “Suspension” is a provisional measure, which prevents a supplier from participating in NSPA procurements pending the outcome of debarment proceedings.
- 4.5 “Supplier” means any legal entity or individual, including their agents or representatives, that do or seek to do business with NSPA.

5. DEBARMENT

Debarment is a measure that renders a supplier ineligible to participate in NSPA procurements and enter into contracts with or involving NSPA following the determination, by NSPA, that said supplier has engaged or attempted to engage in a sanctionable practice.

5.1 Sanctionable Practices

5.1.1 Practices that are sanctionable under this Operating Instruction include:

5.1.1.1 breaches of section 4.1 of the [NSPA Code of Conduct](#);

5.1.1.2 a violation of the obligations contained in the [NSPA Supplier Code of Conduct](#);

5.1.1.3 acts or omissions by a supplier that may hinder the investigations with a view to determine whether a sanctionable practice occurred.

5.1.2 Whether a practice is sanctionable does not depend on whether it occurred in connection with a NSPA procurement or contract.

5.2 Attribution of Acts by the Supplier's Employees, Agents or Representatives

Vendors are deemed to be vicariously liable for sanctionable acts of their employees and agents.

5.3 Cross-Debarment

NSPA may implement debarment decisions made by NATO Member Nations, Partner Nations, and other NATO bodies.

5.4 Debarment Due to a Criminal Conviction

A supplier may also be debarred if it has been established by a court of law that said supplier engaged in criminal conduct, even if the conduct is unrelated to NSPA activities.

5.5 Statute of Limitations

No debarment proceedings shall be initiated for sanctionable practices unless the notice of debarment is issued within five (5) years of the commission of the alleged sanctionable practice.

5.6 Due Process

Before debarring a supplier pursuant to Paragraphs 5.3 and 5.4, the supplier shall also be given an opportunity to provide written comments and evidence.

6. DEBARMENT PROCEEDINGS

6.1 Commencement of Debarment Proceedings

Upon receipt of allegations of sanctionable conduct, NSPA shall conduct a preliminary review to determine whether the allegations are *prima facie* credible and warrant an investigation. Where necessary, an investigator shall be designated to conduct an investigation. The investigator shall indicate whether the alleged sanctionable practice(s) occurred on balance of probabilities. The preliminary review shall not take longer than fifteen (15) NSPA business days.

6.2 Investigation Report

Upon completing the investigation, the investigator shall submit, to the Competition Advocate, an investigation report that will include the following:

- 6.2.1 the designation of each supplier alleged to have engaged in a sanctionable practice and proposed to be sanctioned;
- 6.2.2 the specific allegations of sanctionable practice(s);
- 6.2.3 a summary of the facts constituting the sanctionable practice and the grounds for the recommendation to sanction the designated supplier; and
- 6.2.4 all evidence and information supporting the investigator's findings of facts, together with any exculpatory evidence.

6.3 Issuance of the Notice of Debarment Proceedings

The Competition Advocate shall review the investigation report referred to in Paragraph 6.2 and determine whether the supplier has engaged in a sanctionable practice. Before making such a determination, the Competition Advocate shall seek advice from the NSPA/NSPO Office of the Legal Advisor, who will recommend an appropriate period of debarment.

6.3.1 If the Competition Advocate determines that the allegations of sanctionable practice are not substantiated, they shall discontinue the debarment. If a temporary suspension, within the meaning of Paragraph 8 below, had been issued pending the outcome of the investigation, the Competition Advocate shall terminate the temporary suspension with immediate effect.

6.3.2 If the Competition Advocate determines that the supplier engaged in a sanctionable practice, they shall issue a notice of debarment proceedings to the concerned supplier, which shall:

- 6.3.2.1 state the specific allegation(s) that amount to a sanctionable practice and provide the evidence in support of these allegations;
- 6.3.2.2 specify the duration of the debarment envisaged; and
- 6.3.2.3 where appropriate, require the supplier to take corrective measures and to produce within a reasonable period evidence that the measures have been implemented.

6.3.3 The Competition Advocate shall transmit the investigation report to the supplier and give the supplier an opportunity to provide written observations pursuant to Paragraphs 7.1, 7.2, and 7.3 below.

6.3.4 The investigation report may be redacted to protect the identity or safety of staff and third parties, confidentiality of sensitive or classified information and the integrity of the debarment process. NSPA may also withhold information if its disclosure would constitute a violation of an undertaking by NSPA.

7. OPPORTUNITY TO RESPOND TO ALLEGATIONS OF SANCTIONABLE PRACTICES

7.1 Within thirty (30) calendar days of receipt of the notice of the institution of debarment proceedings, the supplier may submit to the Competition Advocate written observations and documentary evidence. The Competition Advocate may set a page limit for the supplier's written submissions.

7.2 The supplier's submissions shall specify which allegations are admitted and which ones are denied. The supplier shall also indicate mitigating circumstances that the Competition Advocate should consider when determining the debarment's adequate duration. Where applicable, the supplier shall also specify which corrective actions, if any, have been implemented.

7.2.1 The supplier's response shall be signed by an authorized representative who shall certify that the information contained therein is truthful to the best of his/her knowledge after the exercise of due diligence in reviewing the matter.

7.2.2 If the supplier does not provide a response within thirty (30) calendar days after delivery of the notice of institution of debarment proceedings, the Competition Advocate shall consider the allegations as admitted in full and determine the appropriate period of debarment.

7.3 All written materials submitted to the Competition Advocate shall be translated into English or French (if not already in one of these languages). NSPA may request specific documents to be translated by a certified translator.

7.4 Requests for Clarification

The Competition Advocate may, at any time during the debarment proceedings, request the supplier to provide clarifications or further information. A refusal to answer or an undue delay in answering may constitute an aggravating circumstance when determining the sanction.

7.5 Extensions of Time

Upon the supplier's request and as a matter of discretion by the Competition Advocate, a reasonable deadline extension for the filing of submissions may be granted.

7.6 Computation of Deadlines

If the last day of any period falls on a day in which the NSPA is not officially open for business, the term shall run until the end of the next day on which NSPA is officially open. This shall be included in the Competition Advocate's report.

8. TEMPORARY SUSPENSION PENDING DEBARMENT PROCEEDINGS

8.1 At any time during the proceedings, if the preliminary information provided to the Competition Advocate strongly indicates that it is likely that the supplier engaged in a sanctionable practice, the Competition Advocate may suspend said supplier from any ongoing or upcoming competitive solicitation processes.

8.2 A temporary suspension may also suspend, in whole or in part, the effects of ongoing business relationships, including, but not limited to, payment.

8.3 The suspension shall normally be for a renewable period of one (1) month and shall not exceed four (4) months. The suspension shall not be subject to appeal and cannot give rise to any compensation.

9. DEBARMENT DECISION

9.1 If the Competition Advocate determines that there is insufficient evidence to support a finding that the supplier engaged in a sanctionable practice, they shall notify the supplier as soon as possible and the matter shall be closed.

9.2 If the Competition Advocate determines on a balance of probabilities that a supplier engaged in a sanctionable practice, they shall impose a sanction proportionate to the gravity of the offence as well as any remedial action.

9.3 Debarment's Duration

9.3.1 The Competition Advocate may declare the supplier ineligible, from one (1) to ten (10) years, to be invited to NSPA tenders and to be awarded or be involved with NSPA contracts.

9.3.2 As a condition for continuing or doing future business with NSPA, the Competition Advocate may require the supplier to re-establish the situation that existed before the sanctionable practice took place.

9.4 Factors Affecting the Duration of the Debarment

In deciding on the appropriate duration of the debarment, the Competition Advocate may consider the following factors:

9.4.1 the egregiousness and severity of the supplier's actions;

9.4.2 frequency and duration of wrongful conduct;

9.4.3 attempts to mislead or to misrepresent facts;

9.4.4 any past conduct of the supplier involving unethical, fraudulent or corrupt practices;

9.4.5 the magnitude and severity of any losses or damages caused by the supplier;

9.4.6 the negative impact caused by the supplier to the credibility of the procurement process;

- 9.4.7 the quality of the evidence presented to the Competition Advocate;
 - 9.4.8 wrongful conduct that adversely affects or exploits vulnerable persons;
 - 9.4.9 disregard for human life, safety, or security;
 - 9.4.10 any breaches of the confidentiality of the debarment proceedings or interference by the supplier in investigations;
 - 9.4.11 any mitigating circumstances including, but not limited to, any instances where the supplier played a minor role in the sanctionable practice, took voluntary corrective action or cooperated in the investigation or debarment proceedings, the period of temporary suspension already served by the supplier, and the supplier's admission of involvement in the sanctionable practice; and
 - 9.4.12 any other factor that the Competition Advocate deems relevant to the supplier's culpability or responsibility in relation to the sanctionable practice.
- 9.5 The Competition Advocate shall inform the supplier and the relevant NSPA PODs of the decision within five (5) NSPA business days.
- 9.6 The decision of the Competition Advocate can be appealed to the Award Review and Debarment Board within thirty (30) calendar days from notification of the decision. If the supplier fails to appeal within the prescribed period, the Competition Advocate's debarment decision shall become final. The appeal to the Award Review and Debarment Board does not have suspensive effect.

10. DISCLOSURE

- 10.1 The Office of the NSPO/NSPA Legal Advisor shall report to national authorities wrongful conduct that may constitute a criminal offense in any NATO Member Nation. The report shall be addressed to the Nation's permanent representation to NATO, Country Liaison Officers or its Agency Supervisory Board representative.
- 10.2 The findings of the Competition Advocate may be shared with governmental entities of the relevant NATO Member Nations and with international organizations with which NSPO/NSPA has an agreement to exchange such information.

11. WAIVER IN CASE OF SPECIAL CIRCUMSTANCES

- 11.1 When special circumstances warrant the participation of an ineligible supplier in a procurement process, the General Manager may temporarily waive the supplier's suspension from Source File. The term "special circumstances" shall cover:
- 11.2 any emergency situations warranting unusual or immediate action: a sudden and unforeseen crisis that requires extreme effort or attention that may only be provided by the ineligible supplier for example; or

11.3 when no other supplier could provide the material, works and/or services needed, the need for ensuring business continuity in the context of requirements that are of fundamental importance to NSPA's customers or to the Alliance.

12. ADDITIONAL PROVISIONS

12.1 Deviations

Deviations from this Operating Instruction may not be made unless approved on a case-by-case basis by the General Manager upon recommendation by the Competition Advocate.

12.2 Possibility of Suspension for Poor Performance

The initiation and/or conclusion of debarment proceedings does not preclude NSPA from removing a supplier from the Source File on grounds of poor performance.

12.3 Effective Date

The procedures are effective as of 14 August 2023 ("the Effective Date") and shall apply to:

12.3.1 all proceedings for which a notice of debarment proceedings is used on or after the effective date;

12.3.2 any settlement in respect of which an offer for settlement is submitted on or after the effective date; and

12.3.3 any decision taken in respect of compliance by a sanctioned supplier with conditions for release from debarment or for non-debarment taken on or after the effective date.

12.4 No Discovery

Except as expressly provided in this Operating Instruction, the supplier shall have no right to review or obtain any information or documents in NSPA's possession.

12.5 Privileges and Immunities

Nothing in this Operating Instruction, or revealed or implied during the debarment proceedings herein described, or decisions issued, shall be deemed to expressly or implicitly alter, abrogate, or waive the NSPA's status, immunities and privileges or shall be deemed to accept the jurisdiction of the courts of any State.

Stacy A
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Stacy A. Cummings
General Manager

